DATED 22 JANUARY 2026

(1) Arkwright Quantum Limited

(2) Caldera Defence Systems Limited

PATENT AND KNOW-HOW LICENCE AGREEMENT

relating to the QX-Clock Patent Family (Project Quartz)

THIS AGREEMENT is made as a deed on 22 January 2026

PARTIES

1. Arkwright Quantum Limited, a company incorporated in England and Wales with registered number 09construct whose registered office is at Quantum House, Cambridge Science Park, Cambridge CB4 0WS (the “Licensor”); and

2. Caldera Defence Systems Limited, a company incorporated in England and Wales with registered number 07712204 whose registered office is at Gunnels Wood Road, Stevenage SG1 2AS (the “Licensee”).

BACKGROUND

3. The Licensor has developed and owns the Licensed Patents and the Licensed Know-How relating to chip-scale optically-pumped atomic clocks and quantum RF magnetometers, marketed under the QX-Clock name.

4. The Licensee designs and manufactures navigation, positioning and timing systems for the defence and aerospace sectors and wishes to obtain an exclusive licence of the Licensed IP within the Field of Use.

5. The Licensor is willing to grant such a licence on and subject to the terms of this Agreement.

AGREED TERMS

1. Definitions and interpretation

5.1 In this Agreement the following definitions apply:

“Effective Date” means the date of this Agreement.

“Field of Use” means defence and aerospace navigation, positioning and timing applications, including GNSS-denied navigation and resilient timing for airborne, maritime, land and space platforms.

“Licensed Patents” means the patents and patent applications listed in Schedule 1 (the QX-Clock Patent Family) and all divisionals, continuations, reissues, extensions and SPCs derived from them.

“Licensed Know-How” means the technical information, vapour-cell fabrication recipes, interrogation firmware, test data and documentation listed or described in Schedule 4.

“Licensed IP” means the Licensed Patents and the Licensed Know-How.

“Licensed Products” means any product within the Field of Use the manufacture, use or sale of which would, but for this Agreement, infringe a Licensed Patent or which incorporates or is made using the Licensed Know-How.

“Net Sales” means the gross amounts invoiced by the Licensee and its Affiliates for Licensed Products to third parties, less (a) trade and quantity discounts actually allowed, (b) credits for returns, (c) VAT and other sales taxes, and (d) carriage and insurance separately stated on the invoice.

“Permitted Encumbrance” means the non-exclusive research licence of patent QX-2 granted to Meridian Diagnostics GmbH dated 3 March 2021 for non-defence metrology use only.

“Quarter” means each period of three months ending 31 March, 30 June, 30 September and 31 December.

“Territory” means worldwide.

5.2 Clause and Schedule headings do not affect interpretation. References to a statute include subordinate legislation and amendments. The Schedules form part of this Agreement.

2. Grant of licence

5.3 In consideration of the payments in clause 4, the Licensor grants to the Licensee an exclusive (even as against the Licensor), non-transferable licence under the Licensed IP to develop, make, have made, use, market, sell and support Licensed Products in the Field of Use throughout the Territory during the Term.

5.4 The licence in clause 2.1 is granted subject to the Permitted Encumbrance, which the Licensee acknowledges and accepts.

5.5 The Licensee may grant sub-licences within the Field of Use to its Affiliates and to bona fide sub-contractors, provided each sub-licensee is bound by terms consistent with this Agreement and the Licensee remains liable for their acts and omissions. The Licensee shall not otherwise sub-license without the Licensor's prior written consent (not to be unreasonably withheld).

5.6 No licence is granted outside the Field of Use, and all rights not expressly granted are reserved to the Licensor.

3. Technology transfer and support

5.7 Within 30 days of the Effective Date the Licensor shall deliver the Licensed Know-How described in Schedule 4 and provide the technology-transfer support set out in that Schedule and in the side letter of even date.

5.8 The Licensor shall provide up to 40 working days of engineering support in the first 12 months at no additional charge; further support shall be charged at the rates in Schedule 4.

4. Financial provisions

5.9 Upfront fee. The Licensee shall pay the Licensor a non-refundable upfront licence fee of £4,500,000 within five Business Days of the Effective Date.

5.10 Milestone payments. The Licensee shall pay the following non-refundable milestone payments:

(a) £2,000,000 within 30 days of the Licensed Products achieving qualification to Technology Readiness Level 7 (TRL-7) as evidenced under the side letter; and

(b) £3,500,000 within 30 days of the Licensee's receipt of the first production purchase order for Licensed Products,

5.11 such milestone payments totalling £5,500,000.

5.12 Royalties. The Licensee shall pay the Licensor a royalty of 6.5% of Net Sales of Licensed Products, provided that the royalty rate shall reduce to 4.0% of Net Sales on and from the Quarter following that in which cumulative Net Sales since the Effective Date first exceed £80,000,000.

5.13 Minimum annual royalty. From the third anniversary of the Effective Date the aggregate royalties payable in respect of each Year shall be not less than £750,000 (the "Minimum Annual Royalty"); any shortfall shall be paid within 30 days of the end of the relevant Year.

5.14 Payment and reports. Royalties shall be paid within 30 days of the end of each Quarter, accompanied by a statement of Net Sales and the royalty calculation. All sums are exclusive of VAT and shall be paid in pounds sterling.

5.15 Interest. Late payments shall bear interest at 4% per annum above the base rate of the Bank of England from the due date until payment.

5.16 Records and audit. The Licensee shall keep accurate records of Net Sales and allow the Licensor's auditors to inspect them once per Year on reasonable notice; if an audit reveals an under-payment exceeding 5%, the Licensee shall bear the reasonable cost of the audit.

5. Prosecution, maintenance and enforcement

5.17 The Licensor shall, at its own cost, prosecute and maintain the Licensed Patents and keep the Licensee reasonably informed, including in respect of the pending Japanese application (QX-4) and the office action due 28 February 2026.

5.18 Each Party shall promptly notify the other of any suspected infringement of the Licensed Patents within the Field of Use. The Licensor shall have the first right to take action; if it does not do so within 60 days, the Licensee may take action in the Field of Use at its own cost, and the Parties shall co-operate.

5.19 Any recovery from infringement proceedings shall, after reimbursement of the costs of the Party bringing the action, be shared 60% to the Party that brought the action and 40% to the other Party.

6. Warranties

5.20 The Licensor warrants that, as at the Effective Date: (a) it is the sole legal and beneficial owner of the Licensed Patents free of any charge other than the debenture in favour of Clydesford

Bank plc (which does not charge the registered IP); (b) the Licensed Patents listed in Schedule 1 are subsisting and, so far as the Licensor is aware, valid; (c) save for the Permitted Encumbrance, it has not granted any licence of the Licensed IP within the Field of Use; and (d) so far as the Licensor is aware, the exploitation of the Licensed IP as contemplated does not infringe the rights of any third party.

5.21 The warranties in clause 6.1 are given subject to the matters fairly disclosed in the Disclosure Letter.

5.22 Except as expressly set out in this Agreement, all warranties, conditions and terms implied by statute or common law are excluded to the fullest extent permitted by law.

7. Limitation of liability

5.23 Nothing in this Agreement limits or excludes either Party's liability for death or personal injury caused by negligence, for fraud, or for any liability that cannot lawfully be limited.

5.24 Subject to clause 7.1, neither Party shall be liable to the other for any loss of profit, loss of business, or any indirect or consequential loss arising under or in connection with this Agreement.

5.25 Subject to clauses 7.1 and 7.2, the total aggregate liability of each Party arising under or in connection with this Agreement in any 12-month period shall not exceed 125% of the total sums paid and payable by the Licensee to the Licensor under this Agreement in the 12 months immediately preceding the event giving rise to the claim.

8. Confidentiality

5.26 Each Party shall keep confidential the terms of this Agreement and all confidential information of the other Party, and shall use it only to perform this Agreement, subject to customary exceptions and to disclosures required by law or to professional advisers.

9. Export control and compliance

5.27 The Parties acknowledge that the Licensed IP and Licensed Products may be subject to UK and other export-control laws (including in respect of strategic dual-use rating PL5001). Each Party shall comply with all applicable export-control, anti-bribery and trade-sanctions laws, and the Licensee shall obtain any export licences required before first delivery.

10. Term and termination

5.28 This Agreement takes effect on the Effective Date and, unless terminated earlier, continues for 12 years (the "Term"), after which the Licensee shall have a perpetual, non-exclusive, royalty-free licence of the Licensed Know-How only.

5.29 Either Party may terminate by written notice if the other commits a material breach which is not remedied within 30 days of notice, or becomes insolvent.

5.30 The Licensor may terminate the exclusivity of the licence (converting it to non-exclusive) if the Licensee fails to pay the Minimum Annual Royalty for two consecutive Years.

5.31 On termination, accrued rights are unaffected; the Licensee shall cease using the Licensed Patents (save as permitted) and pay all sums due.

11. Assignment

5.32 Neither Party may assign or otherwise deal with this Agreement without the other's prior written consent, save that either Party may assign to a member of its group on notice.

12. Entire agreement

5.33 This Agreement, the side letter and the Disclosure Letter constitute the entire agreement between the Parties and supersede all prior arrangements, including the term sheet dated 30 September 2025.

13. Variation and waiver

5.34 No variation of this Agreement is effective unless in writing and signed by the Parties. No failure to exercise a right is a waiver of it.

14. Notices

5.35 Notices must be in writing and delivered by hand, post or email to the addresses of the Parties set out above (marked for the attention of the General Counsel) and are deemed received in accordance with the usual deeming provisions.

15. Third-party rights

5.36 A person who is not a Party has no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of this Agreement.

16. Counterparts

5.37 This Agreement may be executed in counterparts, each of which is an original and which together constitute one deed.

17. Governing law and jurisdiction

5.38 This Agreement and any non-contractual obligations arising out of or in connection with it are governed by the law of England and Wales, and the Parties submit to the exclusive jurisdiction of the courts of England and Wales.

SCHEDULE 1 — The QX-Clock Patent Family

Ref	Jurisdiction	Title (abbrev.)	Number / Status
QX-1	GB	Chip-scale optically-pumped atomic clock	GB2598417B (granted)
QX-2	EP	Microfabricated vapour cell with anti-relaxation coating	EP3742210B1 (granted)
QX-3	US	Quantum RF magnetometer for navigation	US11,418,209 B2 (granted)
QX-4	JP	Temperature-compensated atomic frequency reference	JP2023-501882A (pending)
QX-5	EP	Integrated photonic interrogation of vapour-cell clocks	EP4118765A1 (published)

SCHEDULE 2 — Royalty and milestone summary

Item	Amount / rate	Trigger
Upfront fee	£4,500,000	Within 5 Business Days of Effective Date
Milestone 1 — TRL-7	£2,000,000	Qualification certificate (side letter)
Milestone 2 — production	£3,500,000	First production purchase order
Royalty (initial)	6.5% of Net Sales	From first commercial sale
Royalty (stepped)	4.0% of Net Sales	Cumulative Net Sales > £80,000,000
Minimum Annual Royalty	£750,000 p.a.	From 3rd anniversary

SCHEDULE 3 — Qualification acceptance criteria (summary)

- Allan deviation ≤ 1×10^{-11} at 1 second; ≤ 5×10^{-13} at 1,000 seconds.
- Frequency stability across -40°C to +85°C within $\pm5\times10^{-11}$.
- Vibration and shock to the agreed defence environmental standard.
- Holdover performance demonstrated over a 24-hour GNSS-denied period.

SCHEDULE 4 — Licensed Know-How and technology transfer

- Vapour-cell microfabrication process specifications and anti-relaxation coating recipes.
- Optical-interrogation firmware source and build environment.
- Test and characterisation procedures and reference data sets.
- Up to 40 days’ engineering support in year one (further days at £1,200/day).

EXECUTION

EXECUTED as a deed by Arkwright Quantum Limited acting by a director: _____
Dr Eleanor Frost, Director

EXECUTED as a deed by Caldera Defence Systems Limited acting by a director:
_____ Marcus Delaney, Director